

Overview: The India Cannabis Product market size was estimated to be USD 1.12 billion in FY2023 and is projected to reach USD 3.44 billion in FY2031, growing at a CAGR of 17.34% during the forecast period FY2024-FY2031. It is expected to show an annual growth rate (CAGR 2024-2028) of 14.06%, resulting in a market volume of US\$102.90bn by 2028, which makes India's market only 3.34% of the global market. However there are several factors to consider for market entry considering profitability is the sole reason for it. In India we can target a trillion dollar market by 2030, whereas it has been estimated at \$9.1Bn.

A. MARKET ANALYSIS

RECREATIONAL/MEDICINAL HEMP:

1. In India, according to a nationwide survey, 31 million people i.e. 2.8% of the total population reported using cannabis in 2018, and 0.25% 2.5 million also showed signs of cannabis dependence. The same study showed the pooled prevalence of cannabis use ranged [0.3-28.9%](#) for the previous month and 2.5-34.2% for the previous year.
2. Medicinal Hemp's market is projected to reach \$85M by 2024, growing 15% annually to \$149M by 2028.
3. 18-25 years old age group generally exhibits the highest rates, often ranging from 15% to 30% of individuals reporting past-year cannabis use.
4. People with [better socio economic status](#) are more likely to consume larger amounts of cannabis with an average of $(2.16 \times 0.32\text{gms}) = 0.69\text{gms}$ of cannabis across all status.
5. New Delhi is the 3rd largest consumer of cannabis in the world with [38.2 tonnes](#).

INDUSTRIAL HEMP:

1. [Industrial use cases of hemp in India](#).
2. Hemp seeds and their by-products are an excellent vegan source of protein and EFAs and have the potential to be top in the vegan charts. Hemp fiber global market size was \$7.1 Billion in 2022 and is expected to grow at 37.8% CAGR to reach \$26 billion by 2026. The potential of hemp fibers is growing strongly and is disrupting single-use plastics and glass fiber markets.]
3. The industrial hemp market size is expected to grow rapidly in the next years, rising from

\$6.8 billion in 2022 to \$18.1 billion in 2027, at a CAGR of 21.6% from 2022 to 2027.

[Industrial Hemp cultivating state in India and stats](#)

B. GROWTH FACTORS

- Growing Stress in youth
- Growing Disposable Income
- Legalization
- Revolutionizing Agriculture

C. COMPETITOR ANALYSIS:

- B.E Hemp
- BOHECO
- Health Horizons
- Hemis
- Hemp Republic
- Hempsters
- India Hemp & Co.
- India Hemp Organics
- Its Hemp
- Satliva
- The Trost
- Vedi

D. TOTAL ADDRESSABLE MARKET

E. Value Chain

INVESTMENT (per acre of produce)		YIELD (per investor)		RETURN (per kg)		
1	Cultivation		Plants per acre of cultivated land	5000	Cost of hemp seed locally (10% produce)	Rs 5,000/-
2	Harvesting	Rs 15,000/-	Approximate land cultivated	10 acres	Cost of hemp seed abroad (10% produce)	Rs 30,000/-
3	Refinement		Total plants produced	50,000	Total sales locally (per investor)	Rs 18,750,00/-
4	Transportation	Rs 1,85,00,000/-	Hemp yield from each plant	250 grams	Total sales abroad (per investor)	Rs 282,500,000
5	Distribution	Rs 90,00,000/-				
TOTAL INVESTMENT		Rs 2,75,15,000/-	TOTAL YIELD	12,500 kgs	TOTAL RETURN (per producer)	Rs 28,12,50,000/-
BALANCE SHEET						
Total return: Total investment + Rs 25.87 cr. as monthly profits per investor						
+ 2% (20% on 10% share)						
***These are not imaginary costs						

BALANCE SHEET

Total return: Total investment = Rs 25,87,85,000 Profit per investor

*All figures are approximate

**Based on real-time market data

*** Sources: Various articles from The Hindu, Hindustan Times and Times of India

- An investment of Rs 2,75, 15,500/- per investor on a ten acre land yields a return of Rs 28, 12, 50,000/- from sales making the investor a whopping

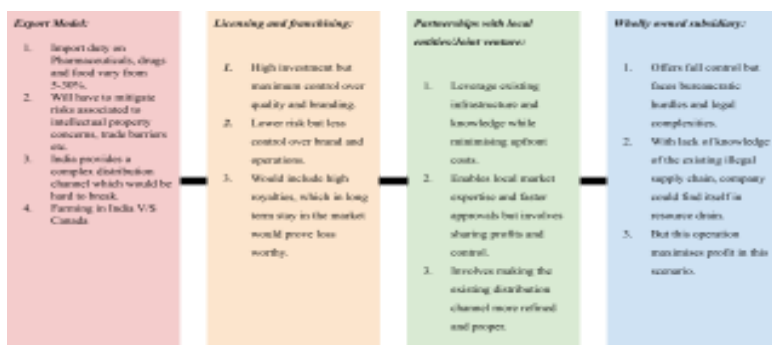
profit of non-taxable Rs 25,37,35,00/-.

- High potential profits (>900% return on investment) for cultivators and financiers.
- [Existing Distribution channel](#) in India is very fragmented, dominated by small and informal players.

F. RISKS

- Supply chain
- Reputational damage
- Product liability
- Regulatory compliance
- Crime
- Natural disasters
- Workplace injury
- Cybersecurity

G. Market Entry and Financial Feasibility



Consider factors like:

- a. [Cheaper cultivation in India compared to Canada](#)
- b. Existing distribution channel in India
- c. Social Stigma around consumption of Cannabis.
 - Company should avoid initial high investments and channel the money into marketing and advertising and building E-Commerce for the product variant.
 - The direct cost of growing cannabis is estimated to be around \$77,600 or \$2,350 per kilogram. This cost does not include administrative, marketing, distribution costs,

and taxes, which vary depending on the location.

- The government-run website sells cannabis for between \$7.95-\$13.25 per gram, while private stores sell cannabis for \$8.50-\$15.42 per gram.
- The retail price of cannabis in India is the lowest in the world, at \$0.10 per gram. This suggests that the cost of cultivating cannabis in India could be relatively low compared to other countries.
- Assuming Cannabon enjoys a good market capitalisation in Canada, and the fact there are no big players in India, wholly owned subsidiary is the best business option for the company to enter into.
- It should partner with local entities however to use the existing value chain.

H. Future Prospects and Marketing

Channels

1. [Blockchain technology](#): Implementing blockchain solutions for secure and transparent tracking of cannabis products throughout the supply chain.
2. E commerce website: 98% of Gen Z owns a smartphone and 84% uses it for shopping. (eMarketer 2022). Ensure Cannabon website and marketing materials are mobile-friendly and optimized for fast loading times.
3. Online mental health checkups, partner with mental health institutions, 60-70Mn
4. Compete with Khadi, Lifestyle to become a premium brand in textile, oil, butter etc. [REFERENCES](#)

